

EUR1.051 today. The solution methodology is shown below.

In one year, a single unit of euro invested risk-free is worth EUR1.0075 ($=e^{0.0075}$).

In one year, a single unit of euro converted to US dollars and then invested risk-free is worth USD1.0589 ($=1.025 \cdot e^{0.0325}$).

To convert USD1.0589 into EUR1.0075 requires a forward exchange rate of USD/EUR1.051 ($=1.0589/1.0075$).

12. A is correct. Regardless of whether the stock increases or decreases in price, the investor's portfolio has a value of USD7.50 as follows:

If stock price goes to USD35, value = $0.5 \times 35 - 10 = 7.50$.

If stock price goes to USD15, value = $0.5 \times 15 - 0 = 7.50$.

If the stock price rises to USD35, the sold call option at USD25 has a value to the buyer of USD10, offsetting the rise in the stock price.